BANK GUARANTEE FOR ADVANCE

THIS GUARANTEE dated…….. executed by (Banker's name & address) (hereinafter called the "Surety") at the request of, (Contractor's company name) a company registered under Indian Companies Act, 1956 having its Registered Office at (Contractor's registered office address) (hereinafter referred to as the "The Company" which expression unless repugnant to the context or meaning thereof shall mean and include its successors, executors, administrators, authorised representatives or assignees) OF ONE PART.

IN FAVOUR OF M/s. (Client Company Name), a company registered under the companies act 1956 having its office at (Client's registered office address) (hereinafter referred to as the Purchaser which expression unless repugnant to the context or meaning thereof shall mean and include its successors, executors, administrators, authorised representatives or assignees) OF THE OTHER PART.

WHEREAS

1. THE PURCHASERS' above named have placed PO no. …….. dated …….. on the company for supply of

2. In terms of the provisions of the said PO, the Purchaser is required to pay the Company against security of the Bank Guarantee, an advance payment of Rs. …….. (Rupees …….. only) for the purpose of mobilisation of the supply under the PO with further provision that the said advance paid by the Purchaser shall be proportionately adjusted in the invoice against actual deliveries of the machineries and equipments under the aforesaid PO.

3. The PURCHASERS have agreed to accept this Bank Guarantee for the said purpose on terms and conditions hereinafter appearing.

NOW THESE PRESENTS WITNESSETH AS UNDER

1. In consideration of the aforesaid premises and subject to the terms hereinafter appearing, the surety hereby undertake to pay to the PURCHASERS immediately on demand, without demur and reference to the Company, such a sum as may be qualified by the Purchaser under this guarantee from time to time as provided herein but not exceeding Rs. …….. (Rupees …….. only) as the Purchasers may demand in consequence of failure of the Company to make timely supplies under the said PO.

2. The parties herein shall be at liberty to vary or alter any of the conditions of the PO without affecting validity of this Guarantee and that the Guarantee shall not be affected by change in the Constitution of any of the parties.

3. This guarantee shall be irrevocable during the period of its validity unless prior discharge is given by the Purchaser.

4. In order to give full effect to the guarantee herein contained, you shall be entitled to act as if we are your principal debtors in respect of all your claims against the company hereby guaranteed by us as aforesaid and we hereby expressly waive all of rights of suretyship and other rights if any which are in anyway inconsistent with any of the provisions of this guarantee.

5. We further agree and undertake to pay you the amount demanded by you in writing irrespective of any dispute or controversy or any reference to arbitration of the said dispute/controversy pending or a civil suit filed by the company is respect of the dispute.

6. This guarantee shall come into force simultaneously on receipt of advance payment by the Company and will remain valid till

NOTHWITHSTANDING anything contained hereinabove, our liability under this bank guarantee shall not exceed Rs. …….. (Rupees …….. only). This bank guarantee shall remain valid upto and including (date). We are liable to pay the guaranteed amount or any part thereof under this bank guarantee only and only if you serve upon us a written claim or demand within three months of the above date